

write all the guide line for some who want to take a any general loan from any NBFC like bajaj etc... specificaly add criteria for dept_to_income ratio and credit score and more if you like to??

so somebody who wants to take loan who will easily understand??

write all these in paragraphs form

If you want a loan from an NBFC such as Bajaj Finance ↗, the most important thing to understand is that lenders do not approve loans based on salary alone. They evaluate your overall ability and willingness to repay the loan. Before applying, you should check your income, existing debts, credit score, employment stability, and repayment capacity. Understanding these factors can significantly improve your chances of approval and help you avoid unnecessary loan rejections.

1. Debt-to-Income (DTI) Ratio – One of the Most Important Factors

The Debt-to-Income (DTI) ratio measures how much of your monthly income is already committed to loan repayments. It is calculated as:

$$\text{DTI} = \text{Total Monthly EMI} \div \text{Monthly Net Income}$$

For example, if your monthly salary is ₹50,000 and your existing EMIs are ₹20,000, then:

$$\text{DTI} = 20,000 \div 50,000 = 40\%$$

Most NBFCs prefer a DTI ratio below 40-50%. A DTI between 50-60% may still be accepted depending on income and credit profile. Once the DTI exceeds 70%, approval becomes difficult because most of your income is already being used for debt repayment. A DTI of 80% means that ₹40,000 out of a ₹50,000 salary is already going toward EMIs, leaving very little room for new debt, which makes the borrower a high-risk applicant.

2. Credit Score (CIBIL Score)

Your credit score reflects your borrowing and repayment history. It is one of the first things lenders check.

- Above 800: Excellent borrower, highest approval chances.
- 750–799: Very good, likely to get competitive interest rates.
- 700–749: Generally acceptable for most loans.
- 650–699: Moderate risk; approval may be possible with higher interest rates.

- Below 650: Difficult to obtain large loans without collateral or a guarantor.

A high credit score demonstrates responsible financial behavior, while a low score indicates a history of missed payments, defaults, or excessive borrowing.

3. Stable Income and Employment

Lenders prefer applicants with stable and predictable income.

For salaried employees:

- Usually at least 6–12 months with the current employer.
- Total work experience of 1–2 years is preferred.
- Regular salary credits into a bank account.

For self-employed individuals:

- Business operational for at least 2–3 years.
- Consistent income and business records.
- Income Tax Returns (ITRs) and bank statements available.

The more stable your income source, the lower the lender's perceived risk.

4. Loan Eligibility Based on Income

The amount you can borrow depends largely on your repayment capacity. Even if you request ₹10 lakh, the lender will calculate whether your income can comfortably support the new EMI.

As a general guideline:

- Higher income usually leads to higher loan eligibility.
- Existing loans reduce your borrowing capacity.
- Lenders often cap total EMIs at around 40–50% of monthly income.

For example, a person earning ₹30,000 per month may not qualify for the same loan amount as someone earning ₹1,00,000 per month, even if both have excellent credit scores.

5. Existing Loan Obligations

Before approving a new loan, lenders examine all existing liabilities such as:

- Personal loans
- Home loans
- Vehicle loans
- Credit card dues
- Consumer durable loans
- Buy Now Pay Later (BNPL) obligations

Having multiple active loans increases risk. Closing smaller loans before applying for a large loan can improve approval chances.

6. Credit Card Utilization

Credit card usage also affects loan approval.

A good practice is to keep credit utilization below 30% of the card limit.

For example:

- Credit card limit: ₹1,00,000
- Monthly outstanding balance: ₹25,000

Utilization = 25%

This is considered healthy. Consistently using 80–100% of the available limit may indicate financial stress and can negatively affect your credit score.

7. Repayment History

Lenders carefully review past repayment behavior.

Positive indicators:

- No missed EMIs.
- No bounced ECS/NACH payments.
- No loan settlements.
- Timely credit card payments.

Negative indicators:

- Late payments.
- Defaults.
- Settled accounts.
- Loan write-offs.

Even one recent default can significantly reduce your chances of approval.

8. Age Criteria

Most NBFCs have age requirements:

- Minimum age: 21 years.
- Maximum age at loan maturity: 60–70 years (varies by lender).

Applicants in their prime earning years generally receive more favorable consideration.

9. Bank Statement Analysis

NBFCs often review the last 3–12 months of bank statements.

They look for:

- Regular salary or business income.
- Sufficient account balance.
- No frequent cheque bounces.
- Controlled spending patterns.

Repeated overdrafts or negative balances can raise concerns.

10. Documentation Requirements

Typically, lenders require:

Identity Proof:

- PAN Card
- Aadhaar Card
- Passport
- Voter ID

Address Proof:

- Aadhaar
- Utility bill
- Passport

Income Proof:

- Salary slips
- Bank statements
- Form 16
- ITRs

Additional documents may be requested depending on the loan type.

11. Loan Purpose

The purpose of the loan may influence approval and interest rates.

Common purposes include:

- Personal expenses
- Medical emergencies
- Education
- Home renovation
- Business expansion
- Vehicle purchase

Some loan purposes are considered lower risk than others.

12. Emergency Fund Consideration

Before taking a loan, ensure you have some savings left after paying EMIs.

A borrower who spends 100% of their income on EMIs and expenses is more likely to default during emergencies such as:

- Job loss
- Medical issues
- Business slowdown

Maintaining an emergency fund covering at least 3–6 months of expenses is generally recommended.

Simple Rule for Easy Loan Approval

A borrower is generally viewed favorably when they have:

- Credit Score: 750+
- DTI Ratio: Below 40–50%
- Stable income and employment
- No missed EMI or credit card payments
- Credit utilization below 30%
- Clean bank statements
- Proper documentation
- Reasonable loan amount relative to income

Example

Suppose a person has:

- Monthly income: ₹1,00,000
- Existing EMIs: ₹20,000
- Credit score: 809
- Stable job for 3 years
- No payment defaults

$$\text{DTI} = 20,000 \div 1,00,000 = 20\%$$

This person would generally be considered a strong loan applicant.

However, if the same person had:

- Monthly income: ₹50,000
- Existing EMIs: ₹40,000
- Credit score: 809

$$\text{DTI} = 80\%$$

Even with an excellent credit score, many lenders would hesitate because the repayment burden is already extremely high.

Key takeaway: A high credit score alone does not guarantee loan approval. The combination of a good credit score, low DTI ratio, stable income, clean repayment history, and sufficient repayment capacity determines whether a loan is approved.

       Sources

what about somebody has very good credit score but DTI is high??

A **very good credit score** and a **high DTI ratio** send two different signals to a lender:

- **Credit Score** = "This person has repaid loans responsibly in the past."
- **DTI Ratio** = "Can this person afford another loan right now?"

Most lenders care about **both**. A high credit score cannot completely compensate for an excessively high DTI.

Example 1: Good Credit Score + Moderate DTI

- Credit Score: 820
- Monthly Income: ₹1,00,000
- Existing EMIs: ₹40,000
- DTI: 40%

This applicant is usually considered low risk. Approval chances are high.

Example 2: Good Credit Score + High DTI

- Credit Score: 820
- Monthly Income: ₹1,00,000
- Existing EMIs: ₹70,000
- DTI: 70%

The applicant has demonstrated excellent repayment behavior, but only ₹30,000 remains before accounting for rent, food, utilities, and other expenses. Many lenders will either:

- Reject the application,
- Offer a smaller loan amount, or
- Require a co-applicant.

Example 3: Excellent Credit Score + Very High DTI

- Credit Score: 820
- Monthly Income: ₹50,000
- Existing EMIs: ₹40,000
- DTI: 80%

Even though the credit score is excellent, the lender may conclude that the applicant simply lacks sufficient cash flow to service additional debt. Approval becomes difficult.

How an NBFC Risk Officer Thinks

Suppose you have:

- Credit Score: 809
- DTI: 80%

The risk officer may think:

"This customer has always paid on time, which is good. However, 80% of income is already committed to debt. If the customer loses their job, faces a medical emergency, or has an unexpected expense, there is very little financial cushion. The probability of future default is higher."

As a result, the lender may not approve the full loan amount requested.

Typical Interpretation

Credit Score	DTI	Typical Decision
800+	<40%	Strong approval
800+	40-60%	Usually approved
800+	60-70%	Careful review
800+	70-80%	Smaller loan or rejection likely
800+	>80%	Often rejected

Real-World Example

Assume:

- Income = ₹1,00,000/month
- Existing EMIs = ₹80,000/month
- Credit Score = 850

The person has an almost perfect credit history. But if they apply for a new loan with an EMI of ₹15,000, total EMIs become ₹95,000.

New DTI = 95%

Most lenders would consider this unsustainable regardless of the credit score.

Which Is More Important?

For a new loan approval:

1. Ability to pay (Income & DTI)
2. Credit history (Credit Score)
3. Employment stability
4. Existing obligations

A borrower with:

- Credit Score = 780
- DTI = 25%

is often a better lending candidate than someone with:

- Credit Score = 850
- DTI = 80%

because the first borrower has much more room to take on additional debt.

So, if someone has an **excellent credit score but a very high DTI**, the lender may trust their character and repayment behavior, but still decline the loan because the numbers suggest they cannot comfortably afford more debt.

       Sources

how about low DTI but low credit score

This is the opposite situation:

- **Low DTI** = "The person can probably afford the EMI."
- **Low Credit Score** = "The person's past repayment behavior is risky."

In lending, a low credit score is often more concerning than a low DTI because it suggests that even when the borrower may have had the ability to pay, they did not always pay on time.

Example 1: Low DTI + Good Credit Score

- Income: ₹1,00,000/month
- Existing EMIs: ₹10,000/month
- DTI: 10%

- Credit Score: 800

This is an excellent borrower profile.

Example 2: Low DTI + Low Credit Score

- Income: ₹1,00,000/month
- Existing EMIs: ₹10,000/month
- DTI: 10%
- Credit Score: 600

The lender may think:

"This person has enough income to repay, but their past credit behavior shows missed payments, defaults, settlements, or other problems."

The application may still be approved, but:

- The loan amount may be reduced.
- The interest rate may be higher.
- Additional verification may be required.
- A guarantor or co-applicant may be requested.

Why Did the Score Become Low?

Lenders try to understand the reason.

Less serious reasons

- Thin credit history (new borrower).
- Few credit accounts.
- Short credit history.

These borrowers may still get approved.

More serious reasons

- Multiple missed EMIs.
- Credit card defaults.
- Loan settlements.
- Written-off accounts.
- Recent delinquencies.

These significantly reduce approval chances.

Typical View

Credit Score	DTI	Typical Decision
750+	<40%	Strong approval

Credit Score	DTI	Typical Decision
650-749	<40%	Possible approval
600-649	<40%	Careful review
550-599	<40%	High-risk approval or rejection
<550	<40%	Often rejected

Which Situation Is Better?

Let's compare:

Person A

- Credit Score: 820
- DTI: 75%

Person B

- Credit Score: 620
- DTI: 20%

Many lenders would find this a difficult comparison.

- Person A has proven repayment behavior but limited repayment capacity.
- Person B has repayment capacity but a history of credit problems.

The decision depends on:

- Why Person B's score is low.
- How stable Person A's income is.
- Loan amount requested.
- Internal lender policies.

If I Were an NBFC Underwriter

For a ₹10 lakh unsecured personal loan:

Factor	Person A	Person B
Credit Score	820	620
DTI	75%	20%
Repayment History	Excellent	Weak
Capacity to Pay	Weak	Strong

I would likely:

- Reject or reduce Person A's loan amount because DTI is too high.
- Investigate why Person B's score is low.
 - If the low score is due to a short credit history, I might approve.
 - If it is due to defaults or settlements, I would likely reject.

Practical Rule

For most NBFCs, the ideal borrower has:

- Credit Score: **750+**
- DTI: **Below 40-50%**
- No recent defaults
- Stable income
- Clean bank statements

If you must choose between the two factors, lenders generally prefer:

A moderately good credit score (700-750) with low DTI over an excellent credit score (800+) with extremely high DTI (70-80%+), because cash flow problems are a common cause of future defaults.

The best approval chances come when **both** the credit score and DTI are healthy.

     ...  Sources

also mention ranges amount of loan allowed for safer side for both the case??
means more than that if customer is asked then could be rejection ??

Yes. In practice, NBFCs do not simply approve or reject based on Credit Score and DTI. They often **reduce the loan amount** until the resulting EMI fits within their risk limits.

A common underwriting approach is:

Maximum Total EMI after the new loan should generally stay below 40–50% of monthly income for a strong borrower.

Some NBFCs may stretch to 60% for premium customers, but this is not considered conservative lending.

Case 1: Excellent Credit Score but High DTI

Example

- Monthly Income = ₹1,00,000
- Existing EMIs = ₹70,000
- Current DTI = 70%
- Credit Score = 820

A conservative NBFC may want total EMIs ≤ 50%.

Maximum allowed EMI:

$₹1,00,000 \times 50\% = ₹50,000$

But the customer is already paying ₹70,000.

Remaining EMI capacity:

$₹50,000 - ₹70,000 = -₹20,000$

Result:

Conservative lender: Likely reject.

Aggressive lender: May approve only a very small loan or ask the customer to close existing loans first.

Safe DTI Zones

DTI	Risk Level	Typical Outcome
<30%	Very Safe	High approval
30-40%	Safe	High approval
40-50%	Acceptable	Usually approved
50-60%	Watchlist	Reduced amount
60-70%	High Risk	Careful review
>70%	Very High Risk	Often rejected

Case 2: Low DTI but Low Credit Score

Example

- Monthly Income = ₹1,00,000
- Existing EMIs = ₹10,000
- DTI = 10%
- Credit Score = 620

The customer clearly has repayment capacity.

Maximum EMI at 50% DTI:

$$₹1,00,000 \times 50\% = ₹50,000$$

Remaining EMI capacity:

$$₹50,000 - ₹10,000 = ₹40,000$$

Financially, the customer can afford much more debt.

However, because of the low score, the lender may approve only 50–70% of what the income suggests.

For example:

- Income-based eligibility: ₹10 lakh
- Risk-adjusted eligibility: ₹5–7 lakh

Simple Conservative Loan Matrix

Credit Score	DTI <30%	DTI 30-50%	DTI 50-70%	DTI >70%
800+	Full eligibility	Full eligibility	Reduced amount	Likely rejection
750-799	Full eligibility	Full eligibility	Reduced amount	Likely rejection
700-749	Near full eligibility	Moderate approval	Reduced amount	High rejection risk
650-699	Moderate approval	Reduced amount	High risk	Likely rejection

Credit Score	DTI <30%	DTI 30-50%	DTI 50-70%	DTI >70%
600-649	Small loan only	Small loan only	Mostly rejection	Rejection
<600	Careful review	Mostly rejection	Rejection	Rejection

Quick Rule for Estimating Loan Amount

Suppose:

- Monthly Income = ₹1,00,000
- Target Maximum DTI = 50%
- Existing EMI = ₹20,000

Available EMI for new loan:

$$₹50,000 - ₹20,000 = ₹30,000$$

Approximate personal loan eligibility:

New EMI Capacity	Approx. Loan Amount (5 years, 12–15% interest)
₹10,000	₹4–5 lakh
₹20,000	₹8–10 lakh
₹30,000	₹12–15 lakh
₹40,000	₹16–20 lakh
₹50,000	₹20–25 lakh

These are rough industry estimates; actual eligibility depends on tenure and interest rate.

If I Were Designing a Conservative NBFC Policy

Auto Reject

- Credit Score < 600
- DTI > 75%
- Recent default in last 12 months
- Loan written-off account
- Fraud flag

Reduced Loan Amount

- Credit Score 600–699
- DTI 50–70%
- Multiple active loans
- High credit card utilization (>75%)

Full Eligibility

- Credit Score ≥ 750
- DTI $\leq 40\%$
- Stable income
- No defaults

A useful underwriting mindset is:

Credit Score tells you whether the customer "wants to pay."

DTI tells you whether the customer "can pay."

A lender generally wants both. If either becomes too weak, the loan amount is reduced or the application is rejected.

       Sources